

I also know that good management is not a science. I have a master's degree in industrial management from MIT, that monument of science, and I can tell you that management definitely does not qualify as one of the scientific disciplines. What it relies on, when good, is a knowledge of psychology (not an exact science either), common sense, and an equable disposition. The good manager is able to get other people to work in the same general direction that he or she is and makes sure that direction is a sensible one. Changing the direction of a company takes *really* good management.

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If you judge management solely by a company's numbers and then pay more for the stock because of "good management," you are guilty of what bridge players call the double-counting of face cards.

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Judging management's competence is a challenge, because it's not easy to find out what goes on inside a company. It's like marriages. We're all surprised to learn that the friends we thought were the perfect couple have just filed for divorce. I don't know how many times I've mentioned to someone that his or her company has a reputation for fine management, only to hear a laugh and "You should only know."

It's particularly hard for the individual investor to find out much about management. Annual reports can be useful, give you a sense of the integrity and vision of the chairman and his policy makers, but you have to remember that what is most important may be precisely what the company *doesn't* want you to read. If you know someone who works in the company, or sells to it, or competes with it, you may be able to get better information. It helps considerably if you have followed a company for a while. If in its 1992 annual re-